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Dept. F43

Hearing Date: 08-10-26

Case # 25CHCV04521, Avery v. Choice

Respicare, Inc. et al.

Trial Date: None set.

DEMURRER AND MOTION
TO STRIKE

MOVING PARTIES: Defendant Choice Respicare, Inc. and Prashant
Sudhir Katte

RESPONDING PARTY: Plaintiff Crystal Avery, by and through her
successor-in-interest, Nykirah Thompson

RELIEF REQUESTED

Order sustaining defendants' demurrer to the
Second Amended Complaint's Third and Fourth Causes of Action. Order striking alter ego allegations and the
Fifth Cause of Action from the Second Amended Complaint.

RULING: Demurrer is sustained with leave to amend as
to the Third Cause of Action and without leave to amend as to the Fifth Cause
of Action. Demurrer is overruled as to
the Fourth Cause of Action. Motion to

strike is denied as to the alter ego allegations and is moot concerning the Fifth Cause of Action.

SUMMARY OF ACTION

Plaintiff Crystal Avery, by and through her successor-in-interest, Nykirah Thompson filed this dependent adult neglect action against defendants Choice RespiCare, Inc. and Prashant Sudhir Katte on December 19, 2025.

On January 30, 2026, Ms. Thompson filed a First Amended Complaint (FAC), asserting (1) dependent adult abuse Welf. & Inst. Code, §§ 15600, et seq.; (2) negligence; (3) violation of Bus. & Prof. Code, §§ 17200, et seq.; (4) violation of Bus. & Prof. Code, §§ 17500, et seq.; and (5) violation of the Consumer Legal Remedies Act. The court sustained a demurer to the FAC's Third and Fourth Causes of Action with leave to amend and to the Fifth Cause of Action without leave to amend. The court also granted in part Defendants' motion to strike alter ego allegations with leave to amend.

On June 1, 2026, Ms. Thompson filed a Second Amended Complaint, asserting the same causes of action. Thompson newly alleges defendant Katte along with other management defendants siphon scarce funds and assets away from residents at Choice RespiCare's facility through various accounts under the guise of inflated payments for supplies, rent, and other illusory management and administrative services. (SAC ¶ 23.) Because these funds should have gone to the payment of labor costs to ensure staffing needs of the residents were met, failing to hold Defendants liable under an alter ego theory would lead to an inequitable result. (Id. ¶ 24.) Furthermore, defendant Katte owned a 100% equity interest in defendant Choice RespiCare, is the sole director of Choice RespiCare, and solely exercises all corporate powers of the Choice RespiCare's facility as the sole director of licensee Choice RespiCare. (Id. ¶¶ 25-26.) As such, defendant Katte owed several mandatory, nondelegable duties, such as providing nursing care to meet the needs of his residents and protecting the residents from health and safety hazards. (Id. ¶ 27.)

Moreover, Ms. Thompson also includes new economic injury allegations to support her third and fourth causes of action. According to Ms. Thompson, Defendants misrepresented that the nursing facility was adequately staffed with skilling nursing care while concealing that the facility was actually understaffed. (SAC ¶ 98.) Plaintiff relied on the representations and concealment and chose to be admitted as a resident at Defendants' facility. However, the understaffing resulted in Plaintiff receiving substandard care and suffering pain and injuries over an extended period, including developing stage II+ pressure sores. Furthermore, Ms. Thompson claims Plaintiff's property interest in her Medi-Cal benefits were diminished because she would have received better skilled-nursing treatment at another facility. (Id. ¶ 99.) According to Plaintiff, both issues constitute loss of property and an economic injury under Business and Professions Code sections 17200, et seq.

On July 6, 2026, defendants Choice Respicare, Inc. and Prashant Sudhir Katte (Defendants) filed the instant demurrer to the Second Amended Complaint's Third and Fourth Causes of Action. On July 7, 2026, Defendants filed a motion to strike alter ego allegations and the Fifth Cause of Action. Ms. Thompson filed oppositions, and Defendants replied.

MEET AND CONFER

Demurrers and motions to strike must be accompanied by a "meet and confer" declaration stating that the parties met and conferred "in person, by telephone, or by video conference" and stating that (1) the parties failed to reach an agreement resolving the issues raised in the demurrer and motion to strike; or (2) that the party who filed the pleading subject to the demurrer or motion to strike failed to respond to the meet and confer request or failed to meet and confer in good faith. (Code Civ. Proc., §§ 430.41, subd. (a)(3), 435.5, subd. (a)(3).) In Department F43, meet and confer means in person or via phone, not by letter or email. (Department F43 Courtroom Information, p. 2.)

Counsel telephonically met and conferred on

June 9, 2026 but did not come to an agreement.

(Declaration of Michael W. Feenberg ¶ 4.)

ANALYSIS

A. Demurrer

A party may respond to a pleading against it by demurrer based on one or more of eight enumerated grounds, including that “the pleading does not state facts sufficient to constitute a cause of action” and is uncertain, meaning “ambiguous and unintelligible.” (Code Civ. Proc., § 430.10, subds. (e), (f).) The grounds for demurring must be apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The purpose of a demurrer is to challenge the sufficiency of a pleading “by raising questions of law.” (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) “In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law[.]” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.)

1.

Third Cause of Action: Violation
of Bus. & Prof. Code, §§ 17200, et seq.

Defendants contend Ms. Thompson has not and cannot allege an economic injury to support her unfair business practices claim. California law has not recognized Medi-Cal benefits paid on behalf of beneficiaries as protected property interests. To the extent that Plaintiff’s Medi-Cal benefits are a property interest, Plaintiff still lacks standing to support her UCL claim because the property interest was not injured—the amount Medi-Cal would pay Plaintiff remained unchanged and undiminished. Ms. Thompson does not allege Plaintiff actually paid for her care or allege that she seeks injunctive relief or restitution.

In opposition, Ms. Thompson claims she has adequately alleged loss of money or property based on Defendants' concealment and misrepresentations. As a result of Defendants' conduct Plaintiff "acquired in the transaction of being admitted to and becoming a resident of the facility less than she otherwise would have had she become a resident of another facility." Moreover, the SAC specifically states Plaintiff's property interest in her Medi Cal benefits was diminished due to Defendants' misconduct.

California's Unfair Competition Law (UCL) prohibits unlawful, unfair or fraudulent business acts or practices. (Bus. & Prof. Code, § 17200, et seq.) "The UCL's purpose is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services." (Kasky v. Nike, Inc. (2002) 27 Cal.4th 939, 949.) "Its coverage is sweeping, embracing anything that can properly be called a business practice and that at the same time is forbidden by law." (Cel-Tech Commc'ns, Inc. v. L.A. Cellular Tel. Co. (1999) 20 Cal.4th 163, 180.) A plaintiff may plead a UCL violation under the "unlawfulness" prong by pleading that a business practice violated a predicate federal, state, or local law. (See Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Telephone. Co. (1999) 20 Cal.4th 163, 180.) A business practice is unlawful if it violates laws other than the UCL. (Farmers Ins. Exchange v. Superior Court (1993) 2 Cal.4th 337, 383.) The complaint must allege facts sufficient to show violation of the predicate law and resulting harm. (People v. McKale (1979) 25 Cal.3d 626, 635 ["Without supporting facts demonstrating the illegality of a rule or regulation, an allegation that it is in violation of a specific statute is purely conclusionary and insufficient to withstand demurrer."].)

To satisfy the standing requirements under the UCL, the complete must plead (1) loss or deprivation of money or property sufficient to qualify as an injury-in-fact and (2) show that the injury was caused by an unfair business practice. (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 323-324; Demeter v. Taxi Computer Services, Inc. (2018) 21 Cal.App.5th 903, 915.) "At the pleading stage, general factual allegations of injury resulting from the

defendant's conduct may suffice." (Kwikset Corp., supra, 51 Cal.4th at p. 327.)

The plaintiff fails to satisfy the causation prong if they would have suffered "the same harm whether or not a defendant complied with the law." (Daro v. Superior Court (2007) 151 Cal.App.4th 1079, 1099.)

Kwikset

identified four non-exclusive ways a plaintiff may show economic injury: "(1) surrender in a transaction more, or acquire in a transaction less, than he or she otherwise would have; (2) have a present or future property interest diminished; (3) be deprived of money or property to which he or she has a cognizable claim; or (4) be required to enter into a transaction, costing money or property, that would otherwise have been unnecessary." (Kwikset Corp., supra, 51 Cal.4th at p. 323.)

Here, Ms. Thompson's standing argument rests on two separate theories: (1) that Plaintiff acquired less in a transaction than she otherwise would have because the facility misrepresented its staffing adequacy, and (2) that Plaintiff holds a cognizable property interest in her Medi-Cal benefits.

In Moore v. Centrelake Medical Group, Inc. (2022), several patients alleged they relied on a medical facility's false representations about data security in entering contracts for medical services, and that they accepted pricing terms they would not have accepted had they known the truth. (83 Cal.App.5th 515, 527-530.) The Court of Appeal held the patients adequately pleaded UCL standing, emphasizing the materiality of the misrepresentation to the plaintiff's decision to enter the transaction is the key inquiry. (Id. at pp. 528-529.) However, the Moore patients paid money out of pocket rather than relied on Medi-Cal benefits. But the payment in this instance relates more to the damages amount rather than the actual loss of property.

Under the "benefit of bargain" theory, Ms. Thompson adequately alleges Plaintiff acquired less in a transaction than she would have elsewhere. Plaintiff became a resident of Defendants' facility in reliance on representations about adequate and skilled nursing staff and reliance on Defendants' concealment that the facility was not adequately staffed. (SAC ¶ 98.) After entering the transaction and being admitted to the facility, Plaintiff received materially inferior care than what was promised with Medi-Cal paying for her

treatments through benefit payments. (Ibid.) According to Ms. Thompson, the substandard care Plaintiff received was less than what she was promised and less than the care she would have received at another skilled facility that was adequately staffed. (Ibid.) As a result, Plaintiff developed various wounds that progressed into more serious health issues. This demonstrates an economic injury.

The main issue raised by both Thompson and Defendant is whether benefits that Medi-Cal, rather than plaintiff, directly paid to Defendants for the services is lost money. Beneficiaries of Medi-Cal benefits hold a protected property interest in those benefits. “[W]hen a person has a legally enforceable right to receive a government benefit provided certain facts exist, this right constitutes a property interest protected by due process.” (American Federation of Labor v. Employment Dev. Dep’t (1979) 88 Cal.App.3d 811, 819 [quoting Skelly v. State Personnel Board (1975) 15 Cal.3d 194, 207].) No California court has directly held that a Medi-Cal recipient possesses a property interest in Medi-Cal benefits for purposes of UCL standing under section 17204. Thus, Plaintiff’s diminished value theory on its own does not establish an economic injury.

But the California Supreme Court has made it clear that economic injury is not limited to “out-of-pocket” expenditures. (California Med. Ass’n v. Aetna Health of California, Inc. (2023) 14 Cal.5th 1075, 1089.) In Clayworth v. Pfizer, Inc. (2010), the California Supreme Court held that retail pharmacies had standing to assert UCL claims against drug manufacturers for price-fixing even though the pharmacies had passed on the overcharges to their customers and thus suffered no net financial loss. (49 Cal.4th 758, 789 [suffering economic injury even though passed charges on to customers to mitigate loss]; see also Campbell v. FPI Mgmt., Inc. (2024) 98 Cal.App.5th 1151, 1169 [parties were conflating the issues of standing and remedies]; Sarun v. Dignity Health (2014) 232 Cal.App.4th 1159, 1169-1170.) Similarly here, even though Medi-Cal paid Defendants for Plaintiff’s care, this does not mean Plaintiff suffered no injury in the transaction. Plaintiff received inadequate and substandard care to that promised, which is the economic harm.

Moreover, the transaction here is Plaintiff’s residency at Defendants’ facility, choosing Defendants’ facility over others in reliance on Defendants’ representations. (SAC ¶¶ 96-99.) Medi-Cal funding the transaction does not eliminate Plaintiff’s interest in receiving the quality and type of service she was promised. No California appellate court has held that a Medi-Cal beneficiary categorically lacks UCL standing because Medi-Cal paid for services or products which caused an injury.

This is distinct from the allegations at issue in *Williamson v. Genentech, Inc.* (2023) 94 Cal.App.5th 410. There the plaintiff alleged a UCL claim against a pharmaceutical company because his insurer paid the additional costs beyond a deductible paid by the plaintiff. (Id. at p. 415.) Because the plaintiff would have paid the same deductible regardless of the size of the medicine vial, the court found that plaintiff did not suffer an injury. Nor could plaintiff borrow an injury from his health insurer who paid the difference. (Id. at pp. 415-416 [attempting to apply the collateral source rule].)

In contrast here, even though Medi-Cal paid all Plaintiff's benefits, Plaintiff alleges she would have received more (standard and quality service) for those same benefits from a different facility. In other words, but for Defendants' misrepresentations, Plaintiff would have chosen a different facility to receive proper care.

Thus, the court finds that Thompson adequately alleges an economic injury to support her Third Cause of Action.

However, Thompson again fails to allege whether she seeks restitution or injunctive relief for her supposed economic injury. (See *Cortez v. Purolator Air Filtration Products Co.* (2000) 23 Cal.4th 163, 173-178 [prevailing plaintiffs are generally limited to injunctive relief or restitution of funds gained through unfair practices].) Although Plaintiff may have a some sort of property interest in the Medi-Cal benefits, Plaintiff cites no case law where the plaintiff may recover restitution for such benefits.

Therefore, the court sustains Defendants' demurrer to the Third Cause of Action. The court will allow Ms. Thompson one final opportunity to amend the complaint to allege her Third Cause of Action.

2.

Fourth Cause of Action: Violation of Bus. & Prof. Code, §§ 17500, et seq.

Defendant contends the Fourth Cause of Action fails

because Thompson does not adequately allege Plaintiff suffered a loss or deprivation of money or property.

Because the court finds the Plaintiff has adequately alleged an economic injury through receiving less in her residency transaction with Defendants than promised, the court finds Defendant's argument lacks merit.

Therefore, the court overrules Defendants' demurrer to the Fourth Cause of Action.

3. Fifth Cause of Action: Violation of Consumer Legal Remedies Act

The court previously sustained Defendants' demurrer to Thompson's Consumer Legal Remedies Act claim without leave to amend, and Thompson concedes that the Fifth Cause of Action was included in the Second Amended Complaint by mistake.

Therefore, the court again sustains the demurrer to the Fifth Cause of Action without leave to amend.

B. Motion to Strike

"Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof." (Code Civ. Proc., § 435.) A court may, upon motion or at any time, strike from the complaint "any irrelevant, false, or improper matter" or "all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., §§ 436, subds. (a)-(b), 187; *Greshko v. County of Los Angeles* (1987) 194 Cal.App.3d 822, 830 [noting the court's inherent power to limit the focus of the proceedings to the issues framed by the remaining viable pleadings].) An "irrelevant matter" is an allegation that "is not essential to the statement of a claim or defense," "is neither pertinent to nor supported by an otherwise sufficient claim or defense," or "a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint." (Code Civ. Proc., § 431.10, subds. (b)-(c).)

The court must read the factual allegations in the complaint as a whole and assume their truth. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.)

Defendants move to strike the following from the Second Amended Complaint:

Paragraphs 19 through 30 (Alter Ego allegations); and

Paragraphs 106 through 115 (Fifth Cause of Action).

1. Alter Ego Allegations

Defendants contend the court should strike Thompson's alter ego allegations because she alleges no facts to suggest any defendants are using defendant Choice Respicare as a shell entity, or that an inequitable result would follow unless the corporate form was disregarded.

In opposition, Plaintiff contends her new allegations specifically allege the defendant Katte owns all equity in defendant Choice Respicare, that Defendants siphon scarce funds and assets under false pretenses, and that defendant Katte is the sole director of Choice Respicare.

A party may sue under the alter ego doctrine, "where a corporation is used by an individual or individuals, or by another corporation, to perpetrate fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose[.]" (See *Capon v. Monopoly Game LLC* (2011) 193 Cal.App.4th 344, 357.) "[A] court may disregard the corporate entity and treat the corporation's acts as if they were done by the persons actually controlling the corporation." (Id.) A defendant cannot claim surprise of a plaintiff's reliance on the alter ego theory where much discovery on the issue has occurred and plaintiff bases its claims on the relationship between several defendants. (*Mesler v. Bragg Management* (2010) 39 Cal.3d 290, 297.)

To adequately allege an alter ego theory of liability, the plaintiff must allege facts showing (1) a unity of interest and ownership so that the separate personalities of the corporation and the individual no longer exist and (2) an unjust or inequitable result will follow if the corporation is treated as the sole actor.

(*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415.) "An allegation that a person owns all of the

corporate stock and makes all of the management decisions is insufficient to cause the court to disregard the corporate entity.” (Id.)

The complaint must contain facts showing improper domination of the corporation as a basis for imposing liability on the individuals.

For the unity of interest element, courts examine various factors including commingling of funds and assets, failure to segregate corporate funds, unauthorized diversion of corporate assets for personal use, treatment of corporate assets as the individual's own, failure to maintain corporate formalities, identical equitable ownership, use of the same offices and employees, and whether the corporation is adequately capitalized. (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538-539.) The plaintiff must allege “specific” facts demonstrating these factors rather than making conclusory allegations. Common ownership alone is insufficient. (*Baize v. Eastridge Companies, LLC* (2006) 142 Cal.App.4th 293, 303.)

For the “inequitable result” element, the plaintiff must allege facts showing that adherence to the fiction of separate corporate existence would sanction a fraud or promote injustice. (*F. Hoffman-La Roche, Ltd. v. Superior Court* (2005) 130 Cal.App.4th 782, 797-798; see also, e.g., *JPV I, L.P. v. Koetting* (2023) 88 Cal.App.5th 172, 195, 200 [alleging the corporation was used as a mere shell or instrumentality for the individual's purposes, the corporate assets were diverted or depleted leaving creditors unable to collect, or the corporate form was used to evade existing obligations].)

Ms. Thompson again alleges defendant Choice Respicare, Inc. and management defendants Katte (Choice Respicare's Administrator, Director, Chief Executive Officer, Secretary and Chief Financial Officer) and Does 51 through 100 are alter egos of one another because they operated in such a way as to make their individual identities indistinguishable. (SAC ¶ 19.) Choice Respicare, Katte, and the other management defendants committed tortious acts and omissions in concert with one another (underfunding and understaffing the facility) to further their common design and agreement to maximize profits. (Id. ¶ 20.) For example, Defendants through Katte, Elliot Salynsky, and others would retain as many residents as possible for the purpose of generating revenue from the providing “skilled” nursing care and other services where were offered but were non-existent or subpar. (Id. ¶ 17.) As part of this scheme, Defendants were

funded by \$672,023 in Medi-Cal funds. (Id.) According to Ms. Thompson, Defendants aided and abetted each other in accomplishing the wrongful acts.

Ms. Thompson newly alleges that the management defendants siphoned scare funds and assets away from residents of the facility through “administration” accounts under the guise of artificially inflated payments for supplies, rent, and other non-clinical, illusory management and/or administrative services. (SAC ¶ 23.) These funds were intended to cover labor costs to sufficiently meet staffing needs for the residents. (Id. ¶ 24.) Allowing the management defendants to pocket these funds while providing inadequate services to residents will lead to an inequitable result.

Moreover, Ms. Thompson newly alleges defendant Katte owns a 100% equity interest in defendant Choice Respicare based on filings with the California Department of Public Health. (SAC ¶ 25.) As the sole director and officer of Choice Respicare, Katte solely manages all business and affairs and directs and exercises all corporate powers of the facility. (Id. ¶¶ 3, 25-28.) Katte’s control and ownership of Choice Respicare and his alleged participation in the “siphoning of funds” scheme demonstrate a unity of interest. Based on these allegations, the court infers that the inequitable result would be that only Choice Respicare would be held liable for the wrongful conduct even though Katte and the Doe management defendants used Choice Respicare as a shell entity to perform their siphoning scheme.

The court finds these facts constitute alter ego allegations.

Therefore, the court denies Defendants’ motion to strike alter ego allegations from the Second Amended Complaint.

CONCLUSION and ORDER

Demurrer is sustained with leave to amend as to the Third Cause of Action and without leave to amend as to the Fifth Cause of Action. Demurrer is overruled as to the Fourth Cause of Action.

Motion to strike is denied as to the alter ego allegations and is moot concerning the Fifth Cause of Action.

Ms. Thompson may file and served an amended complaint within 20 days of this order.

Defendants to give notice.